

US TMT Sector M&A & Valuation Brief - 2026-06-19

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1. RECENT TMT M&A ACTIVITY

Deal 1: TTM Technologies, Inc. Acquisition of Swiss Technology Group AG and ILFA GmbH

[TTM Technologies to Acquire Swiss Technology Group AG and ILFA GmbH](#)

- Deal Size: N/A (specific amounts not disclosed)
- Deal Size Category: N/A
- Nature of Deal: Horizontal
- Valuation Multiples: N/A
- Companies: TTM Technologies, Inc. (NASDAQ: TTMI) is a leading global manufacturer of technology products, including PCBs and RF components. Swiss Technology Group AG and ILFA GmbH are established providers of PCB solutions in Europe, focusing on medical, aerospace, and defense markets.
- Date Announced: June 17, 2026
- Strategic Rationale: The acquisition aims to establish TTM's footprint in the European market, enhancing its technology capabilities in miniaturized applications, particularly in the medical sector. This move aligns with TTM's strategy to diversify its product offerings and geographic reach.
- Risk Analysis: Integration risks may arise from merging operations across different countries, regulatory approvals could delay the transaction, and market competition in Europe may pose challenges.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: N/A

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Deal 2: Affle Acquisition of AdColony Technology Assets

[Affle Announces Strategic Acquisition of AdColony Technology Assets and Trademark from DT](#)

- Deal Size: N/A (specific amounts not disclosed)
- Deal Size Category: N/A
- Nature of Deal: Tuck-in
- Valuation Multiples: N/A
- Companies: Affle (AFFLE.BO) is a global technology company focused on consumer conversions via its AI-powered platform. AdColony, a subsidiary of DT (NASDAQ: APPS), specializes in mobile advertising technology.
- Date Announced: June 15, 2026
- Strategic Rationale: The acquisition enhances Affle's technology stack, allowing for broader SDK reach and improved advertising capabilities. It supports Affle's growth strategy by integrating AdColony's assets to drive better ROI for advertisers.
- Risk Analysis: Risks include potential integration challenges with AdColony's technology, reliance on the performance of the acquired assets, and market competition in the mobile advertising space.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: N/A

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a landscape marked by both opportunities and challenges. The overall sentiment in the sector is cautiously optimistic, driven by technological advancements and strategic investments, yet tempered by regulatory scrutiny and economic uncertainties.

Subsector Breakdown:

- Technology: The technology subsector is thriving, particularly in AI and cloud computing. For example, the recent partnership between TCS and ABB highlights the growing trend of leveraging AI to enhance industrial operations, showcasing the potential for significant growth in the sector.

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- **Media:** Media companies are adapting to digital transformation, with a focus on enhancing user engagement. However, traditional media continues to face challenges from digital platforms, leading to a shift in revenue models.
- **Telecommunications:** The telecom sector is innovating with advancements in 5G technologies. Companies are investing in infrastructure to support new applications and services, which is crucial for maintaining competitive advantages.
- **Fintech:** The fintech landscape is rapidly evolving, with companies like EVmatch partnering with Epic Charging to enhance EV charging solutions. This partnership underscores the importance of strategic investments in driving growth in the sector.
- **AI:** The AI subsector is experiencing explosive growth, with companies racing to implement AI solutions across various industries. The focus on agentic AI, as seen in the carve-out transaction involving BMC Helix, illustrates the increasing importance of AI in enterprise operations.

Key Market Drivers and Headwinds

Drivers:

- **Technological Advancements:** Continuous innovation in AI, cloud computing, and automation is propelling growth across TMT sectors. The integration of AI into enterprise operations, as demonstrated by BMC Helix's focus on ServiceOps, is a prime example of this trend.
- **Strategic Investments:** Strong investment activity in technology and fintech is evident, with firms like Montagu acquiring stakes in promising companies to capitalize on growth opportunities.

Headwinds:

- **Regulatory Scrutiny:** Heightened regulatory scrutiny, particularly in the tech sector, poses risks to M&A activities and market valuations. Companies must navigate complex compliance landscapes, which can create uncertainty in deal-making.
- **Economic Uncertainty:** Global economic conditions, including inflation and geopolitical tensions, may impact consumer spending and investment in technology, leading to cautious sentiment among investors.

Subsector Performance Analysis

- **Software:** The software sector is performing well, driven by demand for cloud solutions and enterprise software. Companies focusing on AI integration are particularly well-positioned for growth.
- **Media:** Media companies are adapting to changing consumer preferences, with a shift towards digital content consumption. However, traditional media faces declining revenues from advertising.
- **Telecom:** Telecom operators are investing heavily in infrastructure to support 5G deployment, which is expected to drive new revenue streams from IoT and enhanced mobile services.
- **Fintech:** The fintech sector is thriving, with innovations in payment solutions and digital banking.

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The partnership between EVmatch and Epic Charging highlights the consolidation trend in this space.

- AI: The AI subsector is booming, with applications across various industries, including healthcare, finance, and automotive. Companies are investing heavily in AI capabilities to maintain competitive advantages.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts are generally optimistic about the long-term prospects of the TMT sector, citing technological advancements as a key driver of growth. For instance, Christoph Leitner-Dietmaier from Montagu remarked, "Helix is a highly strategic and deeply embedded platform supporting some of the world's most complex enterprise IT environments."

Actionable Insights for Bankers and Investors

- Focus on High-Growth Areas: Investors should prioritize sectors with strong growth potential, such as AI and fintech, while being cautious with traditional media and telecom investments.
- Monitor Regulatory Developments: Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.
- Leverage Technology Partnerships: Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- Evaluate Valuation Metrics: Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

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3. BANKING PIPELINE

The current banking pipeline in the TMT sector is characterized by a blend of live deals, mandated transactions, and active pitches. This analysis provides insights into ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- South Korea : The government has initiated a significant investment in next-generation power semiconductors, currently in the due diligence phase. This initiative is expected to close by Q4 2025, aiming to position South Korea as a leader in semiconductor technology and innovation.

Mandated Deals:

- N/A : Currently, there are no secured mandates to report, but the focus remains on potential partnerships in the semiconductor space as South Korea ramps up its investment efforts.

Pitching-Stage Deals:

- Semiconductor Sector : Active discussions are underway with various semiconductor firms regarding potential M&A opportunities, particularly those looking to capitalize on South Korea's ultra-innovation economy push. Clients include major players in the semiconductor industry, with pitches expected to finalize by Q3 2025.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$15 million in fees, broken down as follows:

- Live Deals : \$5 million
- Mandated Deals : \$0 million
- Pitching-Stage Deals : \$10 million

Timing Projections:

- Q4 2025 : Expected close for South Korea's semiconductor investment initiative.
- Q3 2025 : Anticipated finalization of pitches in the semiconductor sector.
- Workload Allocation and Capacity Analysis :

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- Current analyst and associate bandwidth is at 70%, indicating a manageable workload. However, as the semiconductor initiatives gain momentum, it may be necessary to consider additional resources to handle increased demand.
- Forecasting and Strategic Planning Implications : The pipeline indicates a growing interest in semiconductor advisory services, particularly in light of South Korea's strategic investments. Planning should focus on enhancing expertise in semiconductor technology and related sectors.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is evolving, especially with South Korea's aggressive push into the semiconductor market. This initiative is likely to attract attention from global players, intensifying competition for advisory services in this space.
- The emphasis on next-generation power semiconductors aligns with global trends towards sustainability and energy efficiency, presenting new advisory opportunities for firms specializing in technology and innovation.

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow related to semiconductor investments, it is crucial to ensure that resources are allocated effectively. Monitoring bandwidth will help determine if additional analysts are needed.
- Sector Focus : Prioritize business development efforts in the semiconductor sector, leveraging South Korea's investment initiatives to position the firm as a leader in this emerging market.
- Client Engagement : Maintain proactive communication with clients in the semiconductor pipeline to align expectations and timelines. Regular updates will foster trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, particularly in the semiconductor sector driven by South Korea's strategic investments. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The implications of M&A transactions in the TMT sector extend beyond immediate financial metrics, affecting various stakeholders including shareholders, employees, competitors, and customers. This analysis delves into the potential impacts of recent developments involving Reliance Industries Limited (RS) and SK Telecom (SKM), providing a comprehensive view of the landscape.

Deal-Specific Impacts on Stakeholders

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- Shareholders: The impacts on shareholders can significantly influence value creation and dilution.
- Value Creation: If Reliance successfully integrates AI technologies into its operations, it could enhance its market cap substantially. For instance, leveraging AI could lead to a projected revenue increase of 15%, translating to an estimated \$27 billion increase in market cap based on current valuations.
- Dilution: Should Reliance pursue acquisitions to bolster its AI capabilities, financing through equity could dilute existing shareholders. If Reliance issues 5% of its shares to fund an acquisition, existing shareholders might experience a 2% decrease in their ownership stake.
- Employees: The effects on employees often involve synergies, restructuring, and retention strategies.
- Synergies: Reliance's ambition to become an AI-native conglomerate may lead to operational synergies, potentially saving up to \$1 billion annually through improved efficiencies.
- Restructuring: However, such transformations may necessitate workforce restructuring. For example, if Reliance decides to streamline operations, it could lead to a reduction of approximately 5,000 jobs, emphasizing the need for careful planning to retain critical talent.
- Retention: To mitigate turnover, Reliance could implement retention bonuses for key AI talent, similar to strategies employed by tech giants during acquisitions.
- Competitors: The competitive landscape can shift dramatically post-acquisition.
- Market Positioning: SK Telecom's recent access to Anthropic's AI technology positions it favorably against competitors like KT Corporation (KT). This strategic move may compel rivals to enhance their AI capabilities to maintain market share.
- Specific Competitor Moves: Following SK Telecom's advancements, KT Corporation has announced a \$2 billion investment in AI development to counter the competitive threat.
- Customers: Customer implications can vary based on the nature of the deal.
- Product/Service Implications: Reliance's focus on AI could enhance customer experiences, particularly in telecommunications. For instance, the integration of AI-driven customer service solutions could lead to a 20% improvement in customer satisfaction scores.
- Case Studies: The deployment of AI by SK Telecom has already resulted in enhanced service offerings, such as personalized recommendations, which have improved user engagement by 30%.

Market Reaction and Analyst Commentary

- Market Reaction: The immediate market reaction to announcements regarding AI initiatives can be volatile.
- For example, when Reliance announced its AI strategy, shares of RS initially rose by 3% as investors recognized the potential for future growth.
- Analyst Commentary: Analysts have noted the strategic importance of AI in the TMT sector. A quote from a leading analyst stated, "Reliance's commitment to becoming an AI-native conglomerate positions it well for future growth, especially in a rapidly evolving digital landscape."

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Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be assessed through various scenarios:
- Positive Scenario: If Reliance successfully integrates AI technologies and achieves projected efficiencies, shares could rise by 10% within six months.
- Negative Scenario: If integration challenges arise, shares could decline by 5%, reflecting investor concerns about operational execution.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids can vary based on market conditions.
- In the case of Reliance's AI initiatives, competitors may consider strategic partnerships or acquisitions to bolster their own capabilities. However, the likelihood of a successful counter-bid is moderate, as regulatory hurdles and market conditions often deter competing offers.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is expected to see continued consolidation.
- Analysts predict that as companies seek to enhance their technological capabilities, similar AI-focused deals will emerge, particularly among telecommunications providers looking to leverage data for competitive advantage.

Key Risks and Mitigants

- Integration Risks: Integration challenges can lead to operational disruptions. Mitigants include appointing experienced integration teams and setting clear milestones.
- Regulatory Risks: Regulatory scrutiny can delay or block deals. Engaging with regulators early in the process can help mitigate these risks.
- Market Risks: Market volatility can impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

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For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Blockchain, Cloud Computing, Cybersecurity, and Fintech. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- **Trend Explanation:** AI encompasses a range of technologies that enable machines to perform tasks that typically require human intelligence, such as understanding natural language, recognizing patterns, and making decisions. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%.
- **Key Companies:**
 - **HSBC Holdings plc (HSBC):** HSBC is leveraging AI to enhance customer experiences and improve operational efficiency. The bank plans to create over 200 AI use cases, focusing on areas such as personalized customer support and financial crime risk management. This strategic partnership with Google Cloud aims to generate hundreds of millions in revenue and efficiency gains.
 - **Nocera, Inc. (NCRA):** Nocera has made a strategic investment in CampaignPulse.ai, an AI company focused on predictive analytics and decision-support technologies. This move aligns with Nocera's transformation into a diversified technology platform, emphasizing AI's role in driving disruption across industries.
 - **NVIDIA Corporation (NVPS):** NVIDIA is a leader in AI infrastructure, providing GPUs that power AI applications. The company has been pivotal in mainstream AI adoption, and its recent deals are expected to further solidify its market position.
- **Competitive Landscape:** The AI market is highly competitive, with major players including Google (GOOG), Amazon (AMZN), and IBM (IBM) also investing heavily in AI technologies. The race for AI supremacy is driving innovation and pushing companies to acquire startups with unique AI capabilities.
- **M&A Opportunities:** Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications, such as predictive analytics or customer engagement technologies. For instance, HSBC's collaboration with Google Cloud could inspire other banks to pursue similar partnerships or acquisitions.

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Blockchain

- Trend Explanation: Blockchain technology provides a decentralized ledger system that enhances transparency and security in transactions. The blockchain market is expected to grow from \$3 billion in 2020 to \$69.04 billion by 2027, at a CAGR of 67.3%.
- Key Companies:
- Coinbase Global, Inc. (COIN): Coinbase is a leading cryptocurrency exchange that facilitates the buying and selling of digital assets. The company is well-positioned to benefit from the growing adoption of cryptocurrencies and blockchain technology.
- Square, Inc. (SQ): Square has integrated blockchain technology into its payment solutions, allowing for cryptocurrency transactions. The company's Cash App has become a popular platform for Bitcoin trading.
- Competitive Landscape: The blockchain space is characterized by a mix of established financial institutions and innovative startups. Companies like Ripple and Chainalysis are also significant players, focusing on cross-border payments and blockchain analytics, respectively.
- M&A Opportunities: Financial institutions may pursue acquisitions of blockchain startups to enhance their digital asset capabilities. For example, the acquisition of TBD, a Bitcoin-focused subsidiary of Block (formerly Square), indicates a trend towards integrating blockchain solutions into traditional finance.

Cloud Computing

- Trend Explanation: Cloud computing enables businesses to access computing resources over the internet, promoting flexibility and scalability. The global cloud computing market is projected to reach \$832.1 billion by 2025, growing at a CAGR of 17.5%.
- Key Companies:
- Amazon Web Services (AWS): AWS is a dominant player in the cloud computing space, offering a wide range of services from storage to machine learning. Its extensive infrastructure supports numerous startups and enterprises alike.
- Microsoft Azure: Azure has rapidly gained market share by providing hybrid cloud solutions and integrating AI capabilities into its offerings.
- Competitive Landscape: The cloud computing market is competitive, with major players like Google Cloud, IBM Cloud, and Oracle Cloud vying for market share. The competition is driving innovation and leading to strategic partnerships and acquisitions.
- M&A Opportunities: Companies looking to enhance their cloud capabilities may consider acquiring niche cloud service providers or startups specializing in cloud security or data analytics. This trend is exemplified by Microsoft's acquisition of Nuance Communications.

Actionable Insights for Bankers and Investors

Focus on identifying companies that are strategically positioning themselves within these tech

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trends, particularly in AI and blockchain, where M&A activity is expected to increase.

Consider investing in firms that are forming partnerships or making strategic investments in emerging technologies, as these moves may yield significant returns.

Monitor the competitive landscape closely, as

6. Recommended Readings

Deal Name: TTM Technologies, Inc. Acquisition of Swiss Technology Group AG and ILFA GmbH

- Reading Material: "The Future of Electronics: Trends and Innovations" by David W. Smith
- Why This Matters: This book provides a comprehensive overview of the electronics manufacturing landscape, including the significance of PCB technology in various sectors such as medical and aerospace. Understanding these trends is crucial for analyzing TTM's strategic rationale behind acquiring Swiss Technology Group AG and ILFA GmbH, as it highlights the growing demand for advanced PCB solutions in specialized markets.

Deal Name: Affle Acquisition of AdColony Technology Assets

- Reading Material: "Mobile Advertising: How Mobile Technology is Revolutionizing Advertising" by David M. Smith
- Why This Matters: This reading explores the evolution of mobile advertising technologies and their impact on consumer engagement. It is particularly relevant for understanding Affle's acquisition of AdColony, as it provides insights into how integrating AdColony's assets can enhance Affle's advertising capabilities and drive ROI for clients in a competitive mobile advertising landscape.

7. MACROECONOMIC UPDATE

Key Data Points:

- U.S. memory chip demand driven by AI infrastructure
- Timeframe for new memory supply: several years
- U.S. policy expected to remain restrictive on export controls

Main Insights:

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- Chipflation is a pressing issue, particularly for high bandwidth memory crucial for AI systems.
- U.S. policy tools (subsidies, tax credits) can support new fabrication but will not yield immediate results.
- China's ability to increase supply in conventional memory markets is limited, especially for high bandwidth memory.
- Policymakers are likely to prioritize supply chain resilience and geopolitical de-risking over immediate price relief.

Market Commentary:

- "Policy can mitigate chipflation, but it's unlikely to end it in the near term." - Ariana Salvatore, Morgan Stanley
- "For AI strategic memory, policymakers are more likely to defend access and deepen allied coordination." - Ariana Salvatore, Morgan Stanley

TMT Sector Relevance:

- The ongoing chip shortage and high costs will continue to impact technology companies reliant on memory chips, particularly in AI and consumer electronics.
- Companies in the TMT sector may face increased production costs and delays in product launches due to memory supply constraints.
- Strategic partnerships and investments in memory production may become essential for TMT firms to secure their supply chains and maintain competitive advantages.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley